



Coles – supermarket and liquor site in Kalgoorlie, WA

MN-01068

This document contains a summary of the ACCC's reasons for its determination of 30 June 2026. This document does not constitute the statement of the ACCC's reasons for making the determination pursuant to sections 51ABZE(4)(b) and 51ABZZI(1)(b) of the *Competition and Consumer Act 2010* (Cth). The statement of the ACCC's reasons will be published separately following a review for confidential information.

Summary of Reasons

1. Kalgoorlie-Boulder is a city of around 30,000 people located in the Goldfields area of Western Australia, about 600 kilometres east of Perth. Its economy is centred around the mining industry. Consumers in the city are served by six supermarkets. Four can be described as full-line: Coles and Woolworths have one each and there are the independents Spudshed and O'Connor Fresh IGA. The other two are smaller format supermarkets: Hannans Foodworks and IGA Lionel St.
2. On 27 November 2025, Coles Supermarkets Australia Pty Ltd (**Coles Supermarkets**) lodged a notification with the Australian Competition and Consumer Commission (**ACCC**) in respect of its proposed acquisition of a leasehold interest for a supermarket and liquor site in Kalgoorlie, WA (**the Acquisition**). Coles Supermarkets is a subsidiary of Coles Group Limited (**Coles Group**), an ASX listed company (together, **Coles**).
3. The Acquisition is Coles' proposal to acquire the lease over land on which it would build a new, second supermarket in Kalgoorlie (with an associated liquor outlet) in the south-western part of the city. Coles, as a 'major supermarket', is required to notify the ACCC of an acquisition of a lease over vacant land over 2,000m², even if the thresholds for notification in the new merger regime are not met.¹
4. Coles voluntarily notified the ACCC of the Acquisition on 27 November 2025, prior to commencement of the new mandatory, suspensory merger regime. Under the new merger regime, if the ACCC, after conducting a two-phase review, is satisfied that the acquisition, if put into effect, would, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in any market, it may make a determination that the acquisition must not be put into effect.²

¹ [Competition and Consumer \(Notification of Acquisitions\) Determination 2025](#).

² Act, s 51ABZE(2)(c).

5. Coles' proposed supermarket would be a large-format, full-line supermarket with selling floor area (**SFA**) of approximately 2,800m² (**Proposed Supermarket**). The site is currently vacant and undeveloped, and the Proposed Supermarket would be part of a broader proposed neighbourhood development.
6. Such investment in new facilities can be expected to contribute to competition in a market. Here, though, as the Minister has determined that leases acquired by major supermarkets must be notified, the ACCC has had to consider whether and how new investment may result in a lessening of competition.
7. Kalgoorlie is remote. The commissioning of a new large-format supermarket represents a significant increase of supply in the Kalgoorlie market for groceries. The lack of adjacent population centres means that population growth is a key driver of overall grocery demand (leaving aside outside economic factors). As the best estimates of population growth are below 1 per cent, the ACCC considered whether the Acquisition may result in any existing competitors becoming unviable and exiting the market and whether this would substantially lessen competition.
8. The ACCC came to the view that one competitor is likely to exit the market after the Acquisition and that this would substantially lessen competition because the supermarket likely to exit has a differentiated offering valued by consumers and its exit would remove a material competitive constraint on Kalgoorlie's large-format supermarkets.
9. Coles made extensive submissions as to why the ACCC ought not be satisfied that the Acquisition is likely to result in a substantial lessening of competition. Among other things, it submits that demand in Kalgoorlie is sufficient to sustain the Proposed Supermarket without leading to the exit of an effective competitor. It says that any oversupply would be temporary and reflective of the 'lumpy' nature of supermarket investment. Even if a competitor did exit after the Acquisition, this would be the normal functioning of a competitive market. The exit would reflect the relative efficiency or particular financial circumstances of the exiting rival while its underlying business would remain viable.
10. The ACCC's role within the merger regime, having regard to the objects of the *Competition and Consumer Act 2010* (Cth) (the **Act**), is to promote the interests of consumers by protecting the process of competition and not to protect any particular competitor. But there are situations where the exit of a single competitor can materially affect the state of competition, particularly in small, isolated or concentrated markets.
11. New entry and exit are a normal part of functioning competitive markets and investment in new supermarket capacity can benefit consumers. In Kalgoorlie, the Acquisition will increase supermarket capacity significantly, at least in the short term, and the Proposed Supermarket would be a high-quality store in a new location. Incumbents would likely respond competitively.
12. In other areas of competition law, tests directed to identifying when investment may be anti-competitive look at whether a firm is sacrificing profit to gain market power, the investment makes 'no economic sense' without an anti-competitive outcome, or that no 'equally efficient firm' will be forced to exit. However, the ACCC does not consider it is necessary for the acquirer to have a predatory intent or strategy for investment in a market like Kalgoorlie to substantially lessen competition. The Act requires the ACCC to look at likely effects.

13. The Proposed Supermarket is expected to win significant sales from the existing Kalgoorlie supermarkets. There is a material risk that the loss of those sales will place sufficient financial pressure on an independent competitor that its assets will exit the market.
14. The likely effect of the Acquisition would thus be to increase concentration, in that one fewer independent supermarket would be present, and remove a competitive constraint on remaining supermarkets. Coles would operate two of the four full-line supermarkets in Kalgoorlie. Its share of SFA and revenue would increase materially, and the combined Coles and Woolworths share of gross lettable area (**GLA**) used for larger supermarkets would increase from its already high level of 62%.
15. Consumers would likely be worse off over time by losing a differentiated local offer, including local products, longer trading hours, higher-touch customer service, and locally responsive pricing and product ranging. The loss of this independent, differentiated supermarket would reduce (principally) non-price competitive rivalry, reducing the pressure on remaining supermarkets to maintain or improve their product, service and store quality offering.
16. For these reasons, the ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, be likely to have the effect of substantially lessening competition in the retail supply of groceries by supermarkets in Kalgoorlie and has determined that the Acquisition must not be put into effect.
17. The ACCC's satisfaction is based on it having made a single evaluative judgment as to the likely effect of the Acquisition, having regard to the statutory framework, the evidence and submissions before it, the interests of consumers, and the object of the Act.